impact on government bond rates, which also feeds into lowering of corporate borrowing rates.

Third, sovereign bond rates have a bearing on bond rates available to private and public-sector financial and non-financial companies when they raise bonds abroad. Sovereign bond rates also work as a benchmark. The availability of a sovereign bond rate curve considerably aids borrowings by Indian companies.

Fourth, India is still a capital-deficient country. Growth will require considerable financing from abroad, equity and debt. Sovereign bonds will help bring this capital to India.

Fifth, sovereign bonds are issued by all major countries, including developing countries. Such bonds are standard practice. Therefore, there is no artificiality or novelty about sovereign bonds as a means of raising external debt. Specified securities under FAR are artificial devices that are not easily understood by everyone. This is likely to confuse foreign investors as well as debt index creator institutions.

In view of the above, there is a lot of merit in the government overcoming its shyness and initiating a well-crafted, long-term sovereign bond issuance programme.